



Variable Pay (VP) Policy

Objective:

To reward you for adding value to the Company by achieving assigned objectives and targets which are over and above your normal work routine.

In Scope: All E-II, E-I, E & S Grade employees working in Packages Limited, Packages Convertors Limited.

1. VP will vary directly with your individual performance as determined through the People Performance Process (PPP) and your Company or BU Performance.
2. VP is influenced by two parameters.
 - **(A) Company or BU Performance:** Agreed and assigned targets for the specified time frame (performance year). These specific targets are determined at the beginning of each performance year by the CEO of the respective Company and approved by the respective Board. If there are more than one such targets, then the targets will be weighted in accordance of their importance. It is the responsibility of the CEO and BU Heads to inform you about the agreed Company and BU targets at the start of the year.
 - **(B) Individual Performance:** The extent to which you as an individual have achieved your assigned performance targets / objectives for the performance year as determined in the PPP system
3. The formula for VP payout is as follows:

A	Company or BU Performance	Below 95	95-99	100-110	111-120	121+
	Variable Pay Factor	0	0.5	1.50	1.80	2.00

B	Individual Performance (PPP)	Unsatisfactory	Partially Meets	Fully Meets	Exceeds	Far Exceeds
	Variable Pay Factor	0	0.5	1.6	2.00	2.40

VP Payout = Company or BU Performance Factor x Individual Performance

Policy Number	Name of Policy	Issuance Date	Revision Date
22-A	Variable Pay Policy		24 th March 2025

Written By	Policy Owner	HR&RC Approval
HR Operations	HR Operations	24 th March 2025



Example: If Company/BU achieves 100% of its assigned targets and your individual performance rating is “Exceeds”, then you get $1.50 \times 2.0 = 3.00$ Gross salaries.

4. For a Company which has the BU concept, each BU will have their own performance target's - and these will be used for the employees working within that BU. Employees working in shared services will use the collective performance targets of all the BU's combined and their results calculated on a pro-rata basis.

Therefore, it is entirely possible for one BU not to achieve its performance targets and not qualify for VP, another to achieve its performance targets and qualify and shared services to qualify on a pro-rata basis.

5. VP payout will be based on your Gross salary as at 31st December of the performance year. Un-even allowances i.e. acting allowance, accommodation allowance, station allowance, any other monetized allowance (pension monetized, gratuity monetized, vehicle monetized, generator monetized) will not be made part of gross salary for calculation of Variable Pay.
6. VP will be paid out with your March salary in the year proceeding the performance year – provided there has been a closure of the PPP by the end of February.
7. The policy refers to VP which is linked to Company Performance and Individual Performance. Hence, it is not a fixed bonus.
8. If you join the Company during the performance year, then you will get VP on a pro-rated basis.
9. If you are on any other performance incentive scheme (e.g. Sales Incentive or Production incentive, etc.), then you will not be entitled to VP. Sales staff eligible for sales incentive is not allowed to opt for Variable Pay.
10. If you separate from the Company during the performance year, then the following will occur.
 - (i) In the case of retirement, VP will be pro-rated up to the last date of employment. However, payout will be made to you in March of the year proceeding the performance year (as for others).
 - (ii) In the case of resignation from service, you will not be entitled to VP of the performance year unless you resign on or after 31st March of the year proceeding the performance year – in short, you need to be employed at

Policy Number	Name of Policy	Issuance Date	Revision Date
22-A	Variable Pay Policy		24 th March 2025

Written By	Policy Owner	HR&RC Approval
HR Operations	HR Operations	24 th March 2025



the time of the payout.

- (iii) In the case of dismissal from service, you will get nothing.
- (iv) In the case of death, your widow, widower, or legal heir will receive an amount equivalent to a full year's VP with the assumption that both the Company or BU Performance and Individual Performance are achieved at 'target' level.

- 11.** If there is a reporting line change during the performance year (without a change in your KPI's), then your new supervisor will be responsible for your performance evaluation. In such a case, your new supervisor will obtain written feedback from your previous supervisor if you have worked with the previous supervisor for more than 6 months during the performance year.
- 12.** If there is a job change (with new KPI's) during the performance year, then your performance evaluation will be completed jointly by your previous and new supervisor for the period of your reporting to them.
- 13.** Payment of VP will be made after deducting all relevant Government taxes.
- 14.** In case of fatality in the company, VP payout will be deducted by 20% for all employees who are entitled for this scheme.
- 15.** Variable Pay will be self-financed. This means that the Company/BU targets should be inclusive of the VP payout.

Policy Number	Name of Policy	Issuance Date	Revision Date
22-A	Variable Pay Policy		24 th March 2025

